MEMORANDUM

Northstar Distribution · FY2025 revenue reconciliation

To: Management
From: Suliyat Adejumo, Data Analyst
Date: 5 November 2026
Subject: FY2025 revenue reconciliation: operational orders versus Finance

Purpose

To explain why operational revenue differs from the figure Finance reports, and what remains open.

Headline

Corrected operational net revenue is **₦62,351,988** from 850 orders. Finance reports **₦81,101,988**. The ₦18,750,000 difference equals approved journal JRN-2501 (year-end rebate true-up, reference FIN-APP-884), which is not in the order data. With that journal included, the two figures agree. Agreement of totals is arithmetic only. The journal is **provisional** until Finance confirms its nature and supporting evidence.

Reconciliation	Amount (₦)
Operational net revenue (corrected orders)	62,351,988
Add: approved journal JRN-2501 (provisional)	18,750,000
Reconciled revenue	**81,101,988**
Finance annual control total	81,101,988
Variance to Finance	**0**

What was corrected

10 duplicate orders removed; 5 Delivered orders overstated by ₦160,000 in total; 3 order dates with day and month swapped; 5 negative quantities, 8 text prices, 6 discount amounts and 5 missing product IDs fixed; spelling and spacing errors cleaned. Every change is logged in the Data Quality Register.

Journals reviewed

JRN-2504 duplicates JRN-2501 (same amount and reference) and is excluded. JRN-2502 (pending approval), JRN-2505 (freight recovery) and JRN-2506 (unmatched receipt) are excluded. JRN-2503 (credit note) is on hold because it may already sit in returns.

Unresolved

1. Finance’s October monthly figure is **₦6,500,000** above Operations. No journal explains it.
2. Finance’s annual total exceeds the sum of its monthly figures by **₦12,250,000**. This is also unexplained.

Exceptions kept, not changed

37 orders sold outside the salesperson’s assigned region; 4 orders shipped 1 to 2 days before their order date; 7 orders with no recorded shipping fee (left blank, not set to zero).

Recommended actions

1. Finance to supply the approval evidence and accounting classification for JRN-2501, including whether it is a customer rebate, which would normally reduce revenue.
2. Finance to identify the October adjustment and the annual-versus-monthly gap.
3. Operations to verify the 4 shipping dates and the 7 missing shipping fees against original records.
4. Sales to confirm whether cross-region selling is allowed.

Note

Cost data in the file is simulated, so gross profit and margin are illustrative estimates only and are not reported as actual performance.